

Compliance cost rises across the US and EU

Quick Note

In our 7 August report, *Cell secured, dual-track in EU, 2H26F pull-forward shipments*, we provided an update on Sungrow's cell procurement strategy, dual-track in the Europe market, and FCC policy impact. This note provides updates on: i) the US FCC (Federal Communications Commission) implication and tail risk; ii) the broader policies stack; and iii) the Poland project and battery procurements.

Four-layer mitigation buys time; none of it removes the re-certification cost/risk

We believe the FCC constraint on Sungrow is compliance cost and re-certification timing rather than immediate loss of US market access. The FCC added foreign-

produced power inverters to its Covered List on 28 July 2026, and the listing allows models already authorized to continue being imported, marketed, sold and used. Based on our estimates, AIDC (artificial intelligence data center) is fully exposed because the PowerTitan 3.0 AIDC variant needs fresh RF (radio frequency) certification. Our industry survey shows that: the rule still needs notice-and-comment and a commission vote, and the US capacity is thin; and the likely landing point after that bargaining is inverters with communication capability on federal and defence projects only, not utility-scale projects.

Mitigation runs on four layers: i) on product, non-essential networking and remote communication modules are closed, RF, cyber-security and interconnection tests are redone to FCC, NERC (North American Electric Reliability Corporation) and UL (Underwriters Laboratories) standards with records retained, and third-party labs have joined the appeal to force a boundary between pure power-conversion equipment and networked devices; ii) on customers, the company accepts oversight from the Department of Energy, industry alliances, large owners and EPCs (Engineering, Procurement, and Constructions), with security audits and data-isolation plans; iii) on orders, priority goes to compliant backlog deliverable from overseas lines, with staged delivery schedules, localized assembly, alternative models and backup supplier lists offered to cloud customers; iv) on capacity, the build runs through Thailand, Poland and Mexico. We flag the tail risk that if the final rule adopt "Buy American" test, the Thailand and Mexico hedges may void.

Tariff refund likely in 2Q-3Q26F; safe-harbor runs to 2Q27F

Sungrow's US compliance path is dated rather than permanent. On tariffs, the Thailand route carried a total export duty of 34.8%, of which customers absorbed roughly half through a 17% uplift on the pre-tax quote, lifting realized prices to USD0.15-0.155/Wh from USD0.135-0.14/Wh, with Sungrow carrying the balance. The US refund leg was filed in 2Q26 at an expected 25% recovery ratio, but a 45-business-day review and a 25 April filing cut-off leave us expecting clarity only in 3Q26F and modest cash. Safe-harbor shipments run to 2Q27F, and until then the Thailand route holds: PCS (power conversion system), BMS (battery management system) and EMS (energy management system) ship as SKD (semi-knocked-down) or CKD (complete-knocked-down) kits to cut the China-origin cost share, with assembly in Thailand for export. IRS Notice 2026-15 of 23 March 2026 lets taxpayers rely on domestic-content safe-harbour tables and supplier certifications rather than trace component origin, which is why look-through bites less than the statute implies. From 2028, cells must come from non-China capacity, and Mexico must become a real manufacturing base with local materials and licensed PCS.

Poland project and non-China cells price compliance at a premium to China supply

Sungrow is paying a premium for compliant supply. Under Net-Zero Industry Act, inverters produced in China lose access to EU public funding, worth 10-15% of project investment and 80% concentrated in Eastern Europe; local content is set at 40%, 60%

Rating Remains	Neutral
Target price Remains	CNY 120.00
Closing price 14 August 2026	CNY 116.72

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and 70% for 2026, 2027 and 2028, respectively. The Commission's restriction has applied since 1 May 2026, covers European Investment Bank (EIB) and European Investment Fund (EIF) money, and includes storage PCS. We expect 2026F to hit 3% of storage shipments, 4% of inverter shipments and 10% of European revenue. *The Poland project was announced in 1Q26*, ahead of the act, with full PCS and inverter capacity at 72% local content, feeding a dual track: China exports for free-market projects in Western and Southern Europe, Poland for EIB tenders. Poland costs 12-18% more than China, narrowing to 4-5% once customers claim the low-interest financing. On cells, Sungrow looks to be moving toward a deeper arrangement with an overseas supplier at around 10GWh, based on our estimates. The relationship may extend into the residential segment. We maintain our Neutral rating for Sungrow with a TP of CNY120, which is based on 14x 2027F P/E, -0.2x SD of its historical average at 17x. The company currently trades at 13x 2027F P/E.

Appendix A-1

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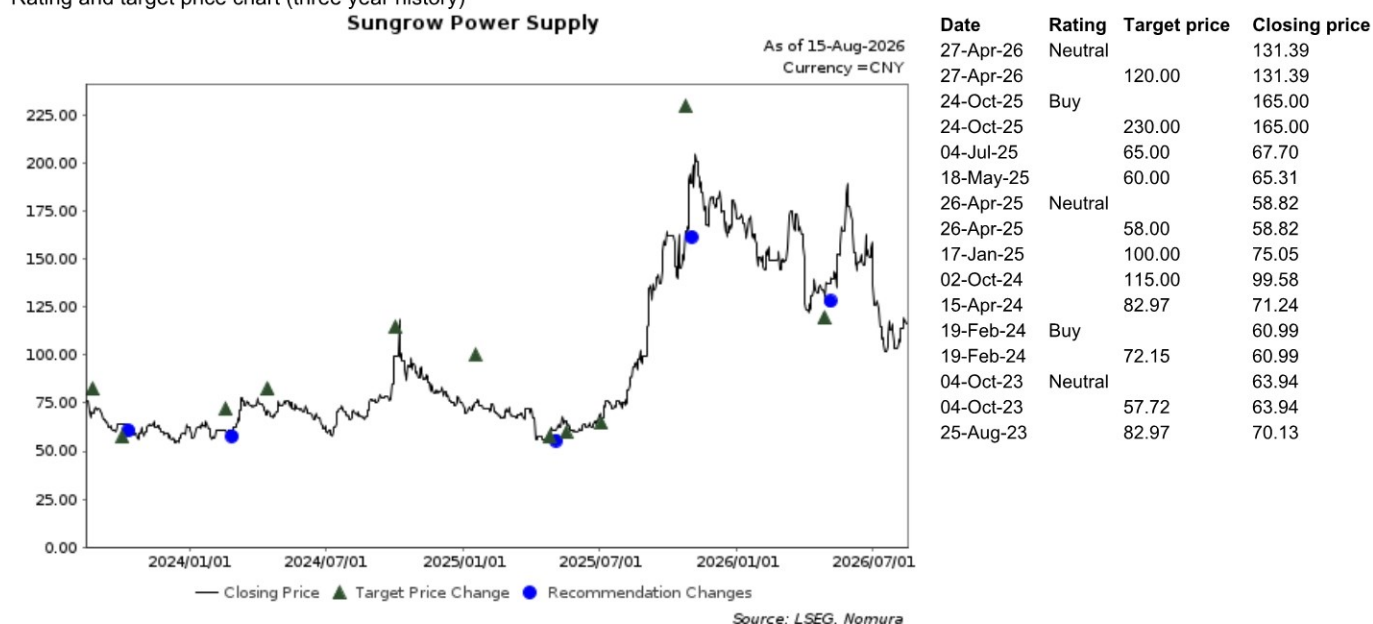
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Sungrow Power Supply	300274 CH	CNY 116.72	14-Aug-2026	Neutral	N/A	

Sungrow Power Supply (300274 CH)

CNY 116.72 (14-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use P/E method to value Sungrow and our TP of CNY120 is based on 14x 2027F P/E, -0.2x SD of its historical average at 17x, which is due to declining gross margins in 2026-28F. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Upside risks include: 1) faster ESS development in data center clients; 2) better gross margins due to stable battery prices. Downside risks include: 1) policy headwinds for ESS business; 2) softening utility-scale project demand.

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